

nancial statement filings. Besides, sources say the founders of online higher education platform Great Learning are looking to buy back the company from Byju's, two years after it was acquired.

With Raveendran battling these issues, Mohan has taken charge of operations. His first task, according to another person in the know, is to bring about a cultural change in how Byju's sells its products. "It necessitates transitioning from a sales and marketing-focussed company to one that is customer-centric," he says. According to him, Mohan has instructed his sales team to sit with each unhappy customer to address their concerns and sell products that best suit the customer's needs, rather than focussing on what works better for the team's short-term sales targets.

"Mohan has identified key customer issues and is currently working with his sales team to enforce a mindset change... He has now given the sales teams the freedom to offer the right product to customers," the aforementioned person says.

What's even more critical is the payroll and non-payroll cost reduction that Mohan is leading. The core online business operated with separate business units (BU) and leaders for different functions, including early learning, K10, 11 and 12, home tuition and UPSC civil service exams. Each BU created its own organisation for finance and human resources functions. Meanwhile, the offline sales and marketing functions operated on a regional structure with each having its own support functions. The field sales teams were converted to inside sales earlier this year, when the company implemented a significant sales strategy shift to address allegations of mis-selling.

"It was a highly dysfunctional organisation... [and] was a huge mess. A lot of leaders who under-

THE NEW PATH



Arjun Mohan, a former student of Byju Raveendran and ex-CEO of upGrad, has taken on the role of India head and is leading a restructuring



Raveendran has withdrawn from day-to-day operations to focus on corporate-level matters, including settling the \$1.2-billion term loan



Mohan has assumed control of operations, and is focussing on igniting a cultural shift in Byju's sales strategies



Online and offline verticals are being merged into two primary lines of businesses—K12 and test prep—resulting in 3,500 more job cuts



Byju's has also set up a working group consisting of promoters and top investors in an effort to improve the relationship with key stakeholders

stood this cannot be built like that have left, but their teams were sitting there without much clarity on what to do," says a top executive.

Mohan is currently merging these verticals into two lines of businesses—K12 and test prep. All sales and marketing functions are regionally allocated with one sales head responsible for all of them. Within regions, the company is now clearly demarcating between the inside sales and offline businesses—or Byju's tuition centres (BTCs). Consequently, the company has closed a majority of these offices and consolidated the workforce into just five regional offices, while all finance functions have been centralised under CFO Ajay Goel.

This has led to the elimination of numerous overlapping roles, resulting in approximately 3,500 more individuals departing from the organisation. In May, the company had a total workforce of over 24,000—down from over 58,000 in March 2022—and this is expected to reduce to nearly 20,000.

The sales and other support functions of its 300-strong network of BTCs have been merged with the core business teams. These centres will continue to supplement the K12 and test prep units until the end of the current academic year, before the company takes a call on which ones to retain.

"The offline centres have full-time teachers even though students come only once or twice a week. They incur significant real estate cost. These are becoming like under-utilised stores, real white elephants," another person associated with the business says.

Mohan is also looking to reduce a host of non-payroll costs, including cloud expenses, SaaS licence costs, consolidation of office space and revising travel policies.

At the group level, the company is actively addressing larger issues